

THE THESIS IN ONE LINE

#2 in AI-server MLCC with real pricing power, but valued at ~65x mean EBITDA

▲ BULL — why it could be worth it

- ~40% of AI-server MLCC; +30% price hike from 1 Aug [ATTRIBUTED]
- ₩3.3tn of hyperscaler LTAs incl. ₩1.07tn for 2027 [ATTRIBUTED]
- 2Q26 OP ₩440bn (+107%); 3Q cons. ₩605bn [ATTRIBUTED]
- FC-BGA / glass substrates add a second AI leg [ATTRIBUTED]

▼ BEAR — why it might not

- EV / 4y-mean EBITDA ~65x; fwd P/E 47.6x [EST]
- Capex ~₩3tn (2026) to ~₩6tn (2027): the supply response [ATTRIBUTED]
- Stock +660% in 12 months even after -30% [FACT]
- Philippines plant 3 adds capacity 1Q27 [ATTRIBUTED]

THE SINGLE DRIVER TO WATCH

2027 capex step-up vs AI-server MLCC order slope.

VALUATION

EV/4y-mean EBITDA ~65x; fwd P/E 47.6x; consensus TP ₩2.41m (+52%).

ENTRY / LEVELS

No long entry on the house method; revisit below ~25x mean EBITDA.

WHAT WOULD FLIP THE CALL

LTA pricing proves sticky through 2028 and substrates double; then 30x+ holds.